

Nepal Petroleum Act, 1983

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Nepal Petroleum Act, 2040

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Amending Acts

1. The Administration of Justice Act, 2048 2048.2.16
2. The Income Tax Act, 2058 2058.12.19
3. The Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.1.7
4. The Some Nepal Acts Amendment Act, 2082 2082.04.14

Act No. 7 of the year 2040

An Act Made to Provide for Matters Relating to Petroleum

Preamble: Whereas it is desirable to make legal provisions for the development of petroleum-related resources existing in the country for the rapid economic development of the country and to maintain the convenience and economic interest of the general public,

Therefore, His Majesty King Birendra Bir Bikram Shah Dev has enacted this Act with the advice and consent of the National Panchayat. 1. Short Title and Commencement: (1) This Act may be called the ?Nepal Petroleum Act, 2040?.

(2) This Act shall come into force on such date as the Government of Nepal may appoint by notification published in the Nepal Gazette. This Act is appointed to come into force from the date of 2041.12.1 (Nepal Gazette dated 2041.11.14). 2. Definition: Unless the subject or context otherwise requires, in this Act,-

(a) ?Crude oil? means petroleum produced at the wellhead in a liquid state and asphalt, ozokerite, and the term also includes liquid petroleum called distillate or condensate obtained from natural gas.

(b) ?Contractor? means a domestic or foreign investor who makes a petroleum agreement with the Government of Nepal pursuant to Section 8.

(c) ?Prescribed? or ?as prescribed? means prescribed or as prescribed in the rules framed under this Act.

(d) ?Petroleum? means crude oil, natural gas and all other liquid, gaseous, solid or semi-solid hydrocarbons in their natural state, and the term also includes sulfur, helium and other similar substances associated with such hydrocarbons.

(e) ?Petroleum operation? means exploration, development or production of petroleum, and the term also includes refining, transportation, storage or sale and distribution of petroleum so produced.

(f) ?Petroleum agreement? means an agreement made by the Government of Nepal with any contractor for

carrying out petroleum operations pursuant to Section 8.

(g) "Natural gas" means wet gas, gaseous petroleum produced from oil or gas wells, and gas remaining after extraction of liquid petroleum from wet gas.

(h) "Department" means the Department of Mines and Geology of the Government of Nepal. 3. To Be the Property of the Government of Nepal: All petroleum existing in or found on any land, whether private or government, within Nepal shall be the property of the Government of Nepal. 4.

Right to Carry Out Petroleum Operations: (1) The monopoly to conduct petroleum operations shall vest in the Government of Nepal. (2) The Government of Nepal may itself conduct petroleum operations or cause them to be conducted by any contractor. (3) The Government of Nepal shall have the right to become a participant by making capital investment or in any other manner in petroleum operations conducted under a petroleum agreement. 5. Conduct of Petroleum Operations: (1) While conducting petroleum operations, they shall be conducted in accordance with this Act and the rules framed under this Act and the petroleum agreement, and in the following manner:- (a) Following healthy practices adopted in the petroleum industry and adopting diligent, efficient and economical methods. (b) Taking due care of the safety of life and property and, as far as possible, conducting operations in a manner that does not cause pollution or damage to forests, natural heritage and the environment. (c) Adopting the best conservation system so that petroleum is available in maximum quantity from a long-term perspective. (2) All samples, data, information and details collected or obtained while conducting petroleum operations shall be the property of the Government of Nepal. (3) All structures constructed for the production, refining, transportation or storage of petroleum and all objects and equipment permanently installed shall be the property of the Government of Nepal. 6. Application for Permission, Consent or Recommendation: (1) If any person requires the permission, consent or recommendation of any body in connection with petroleum operations, an application stating the reason and necessary details thereof shall be submitted to the Department. (2) The Department shall take necessary action on the application submitted pursuant to Sub-section (1). 7. Petroleum Advisory Committee: (1) A Petroleum Advisory Committee shall be constituted as prescribed to advise the Government of Nepal on petroleum operations. (2) The functions, duties, powers and procedure of the Committee constituted pursuant to Sub-section (1) shall be as prescribed. 8.

Petroleum Agreement: (1) When the Government of Nepal, pursuant to Sub-section (2) of Section 4, does not itself conduct petroleum operations but causes them to be conducted by any contractor, a petroleum agreement shall be made as prescribed. (2) While making a petroleum agreement, it shall be made only with those qualified contractors who have achieved capital, technical skill and professional competence as prescribed for petroleum operations. (3) Without the prior approval of the Government of Nepal, the contractor shall not assign or transfer the rights and obligations obtained under the petroleum agreement to any other person. 9. Special Provisions: (1) The Government of Nepal may, from the perspective of national security, public interest, historical importance or tourism development, declare any area as a prohibited area for petroleum operations or allow petroleum operations to be carried out in any particular area subject to special conditions prescribed. (2) The Government of Nepal may, so as not to cause any hindrance to petroleum operations, itself conduct all types of geological surveys within the area under the petroleum agreement or allow any person to explore or produce mineral substances other than petroleum. 10. Power to Issue Orders: The Government of Nepal may issue such orders as it deems necessary to protect national security or public interest from petroleum operations, to prevent damage to petroleum reservoirs or injury or loss to any person's life or property, and to enforce compliance with this Act or the rules framed under this Act and the conditions under the petroleum agreement. 11. Inspection and Investigation: (1) The Government of

Nepal may authorize any person, officer or body to inspect and investigate whether the work and actions are being carried out in accordance with this Act and the rules framed under this Act and the petroleum agreement. (2) It shall be the duty of the contractor and all concerned persons to allow the person, officer or body authorized pursuant to Sub-section (1) to enter any place where petroleum operations are being or are to be carried out in the course of inspection and investigation, and to provide the documents and details requested by him/her. 12. Export of Petroleum: Except where the Government of Nepal, by order, has temporarily prohibited the export of petroleum in order to supply national security or domestic demand, the contractor may, subject to the petroleum agreement, export his/her share of petroleum abroad. 13.

Tax Concessions: Except for the taxes, duties and fees as follows, no taxes, duties, levies or fees otherwise leviable under the prevailing law shall be levied on the contractor in respect of petroleum operations:- (a) Royalty at a rate of not less than 12.5 percent as prescribed on the value of petroleum sold or disposed of, Such royalty shall be paid in crude oil or in cash or partly in crude oil and partly in cash as prescribed by the Government of Nepal. (b) Annual land rent as prescribed. (c) Omitted by the Income Tax Act, 2058. (d) Registration fees or other service fees generally leviable for any service provided by the Government of Nepal. (e) Other taxes or duties as provided in the petroleum agreement or the rules framed under this Act. 14. Customs Concessions: (1) The contractor and his/her sub-contractor shall have the right to import into Nepal all goods and equipment as certified by the Department to be necessary for petroleum operations. (2) All kinds of import duties and taxes shall be exempted on goods and equipment imported by the contractor and sub-contractor pursuant to Sub-section (1). (3) The contractor and sub-contractor may re-export all goods and equipment imported under Sub-section (1) but not permanently installed for petroleum operations without paying any kind of duties and taxes. 15. Foreign Exchange Concessions: (1) Notwithstanding anything contained in the prevailing law, the contractor may keep the amount received from petroleum operations in Nepal or in any foreign country, and transfer such amount within Nepal or abroad or from one country to another. Provided that, in relation to each such transaction, the contractor shall furnish to the Nepal Rastra Bank such details as prescribed by the Nepal Rastra Bank. (2) The amount brought into Nepal by the contractor for petroleum operations, or the amount receivable by him/her under the petroleum agreement out of the amount obtained from petroleum operations, may be exchanged into foreign currency in accordance with the prevailing law and taken outside Nepal. 16. Employment of Foreign Nationals: If qualified and competent Nepali citizens are not available for conducting petroleum operations, foreign nationals may be employed with the prior approval of the Department. 17.

Right to Acquire Land or Enter Land: (1) If any land in any area other than an area prohibited for petroleum operations pursuant to Sub-section (1) of Section 9 is required temporarily or permanently for conducting petroleum operations, it may be used or acquired subject to the following matters:- (a) If such land belongs to the Government of Nepal, the contractor may use it by paying reasonable land rent to the Government of Nepal as determined by the Government of Nepal. (b) If such land belongs to any person, the Government of Nepal may, in accordance with the prevailing law, acquire it temporarily or permanently at the expense of the contractor and allow the contractor to use it. (2) If, for the conduct of petroleum operations, it is necessary to install any equipment, tools or machinery on any land for a certain period, or to carry out survey, mapping or other related work, such land may be entered and such work may be done subject to Sub-section (3). (3) If, while conducting petroleum operations, the Government of Nepal or the contractor causes any landowner to be unable to use his/her land, or causes damage to crops, trees, houses, goods or other property on such land, the Government of Nepal shall itself or by recovering from the contractor pay compensation to the concerned landowner in accordance with the prevailing law. 18. Submission of Notices and Reports: The contractor shall submit such notices and reports as prescribed to the Department. 19.

Penalties: (1) If any person conducts petroleum operations without making a petroleum agreement as required under this Act, the Government of Nepal shall stop such petroleum operations and may confiscate the goods and tools used in the petroleum operations and the petroleum produced without authorization, and impose a fine of up to one hundred thousand rupees on such person. (2) If the contractor fails to comply with an order under Section 10, the Government of Nepal may suspend the petroleum operations until such order is complied with, and if any injury or loss is caused to any person's life or property or damage is caused to petroleum reservoirs due to non-compliance of such order, the Government of Nepal may also recover reasonable compensation therefor from the contractor. (3) If the contractor fails to submit any notice or report required to be submitted to the Department under Section 18, the Government of Nepal may suspend or withhold the concessions to which the contractor is entitled under this Act until such notice or report is submitted. (4) If the contractor does any act contrary to this Act, the Government of Nepal may impose a fine of up to one hundred thousand rupees on him/her, or suspend or withhold the concessions to which the contractor is entitled under this Act for a specified period. (5) Before taking action under Sub-section (1), (2), (3) or (4), the Government of Nepal shall give the concerned person a reasonable opportunity to submit an explanation. (6) If any person, without reasonable cause, obstructs, assaults or prevents any contractor in carrying out petroleum operations under a petroleum agreement or other authorized work under this Act, he/she may, by order of an officer designated by the Government of Nepal by notification published in the Nepal Gazette, be punished with imprisonment for up to six months or a fine of up to one thousand rupees or both. (7) A person dissatisfied with the order of punishment under Sub-section (1), (2), (3), (4) or (6) may appeal to the High Court within thirty-five days. 20. Arbitration: Except for matters mentioned in Section 19, if any dispute or controversy arises between the Government of Nepal and the contractor regarding the interpretation of any matter under the petroleum agreement, or breach of terms of the agreement, or termination of the agreement, or if any claim has to be made, and if the parties cannot resolve such dispute, controversy or claim by mutual consultation, it shall be resolved by arbitration following the procedure mentioned in the petroleum agreement. 21.

Provisions Relating to Petroleum Refining: (1) Any person wishing to carry out petroleum refining activities shall obtain permission from the Department. (2) The details to be submitted by a person wishing to obtain permission under Sub-section (1), the format of the permission, and the conditions to be complied with while carrying out petroleum refining activities shall be as prescribed. (3) Matters other than those mentioned in Sub-sections (1) and (2) shall be in accordance with the prevailing law. 22. Power to Make Rules: (1) The Government of Nepal may make rules for the purpose of implementing this Act. (2) Without prejudice to the generality of the power conferred by Sub-section (1), rules may be made in particular with respect to the following matters:- (a) Matters to be included in the petroleum agreement, (b) Survey, measurement, mapping of the area under the petroleum agreement and abandonment of the petroleum field, (c) Selection of contractors, (d) Safety measures to be adopted while conducting petroleum operations, (e) Notices and reports to be submitted by the contractor, (f) Procedure for inspection and investigation. 23. Delegation of Powers: The Government of Nepal may, if it deems necessary and appropriate, delegate all or some of the powers vested in it under this Act or the rules framed under this Act to any body. 24. Saving: Amended by the Some Nepal Acts Amendment Act, 2062. (1) The provisions of Sections 5 and 13 of the Bonus Act, 2030 shall not apply to the contractor and sub-contractor. (2) No provision of the "Foreign Investment and Technology Transfer Act, 2075 and the Industrial Enterprises Act, 2076" shall apply to the contractor and sub-contractor. (3) Notwithstanding anything contained in the prevailing law, the provisions of this Act and the rules framed under this Act shall prevail to the extent specified therein. 25. Amendment: In the Nepal Mines Act, 2023:- (1) In Section 2, (a) The phrase "and the term also means a place where a gas or oil well or boring exists in its

natural state" contained in Clause (a) is deleted. (b) The following Clause (d) is substituted for Clause (d):-
"(d) ?Mineral substance? means all kinds of natural substances, other than petroleum, that can be extracted from the ground." (2) Clause (c) of Sub-section (2) of Section 16 is deleted.